

Assumptions for the 4% Rule

Basic Assumption for 4% Rule	What Else to Consider	Covered in Chapter	Spending Impact
US historical data provides sufficient precedence for future outcomes.	International data is not as favorable for the 4% rule.	5	↓
	Current low interest rate and high stock market valuation environment is unprecedented.	5	↓
	Safe savings rates.	5	↑ ↓
Retirees earn underlying market index returns.	Investment fees reduce returns relative to indexes.	5	↓
	Real-world investors tend to underperform market indexes.	5	↑ ↓
Retirees draw from a total-return investment portfolio, spending both portfolio income and principal.	Retirees focus on portfolio income and reach for yield.	5	↓
	Retirees may use individual bonds to meet upcoming expenses.	7	↑ ↓
Retirement portfolio is tax-free or tax-deferred.	Retirement assets may be held in taxable portfolio, which reduces compounding growth potential.	5	↓
Retirees are willing to deplete portfolio entirely by planning age.	Retirees seek a safety margin for remaining wealth or wish to provide a legacy.	5	↓
Retirees seek constant inflation-adjusted spending in retirement. They automatically adjust spending each year for inflation and do not voluntarily reduce spending as they age or adjust withdrawals in response to realized financial market returns.	Real retirement spending tends to decline throughout retirement (except for health costs); it may exhibit a "spending smile" pattern over time.	5	↑
	Retirees may have flexibility to make spending adjustments in response to market performance.	6	↑
	Retirees may have sufficient income sources outside the portfolio that they need not pay much attention to maintaining a constant portfolio spending amount.	8	↑
30 years represents a sufficient retirement planning horizon.	Depending on age, health, household composition, and longevity risk aversion, the appropriate planning horizon could be more or less than 30 years.	5	↑ ↓
Retirement portfolios include two asset classes and a fixed stock allocation of 50–75% to minimize portfolio failure.	Broader diversification beyond two asset classes is possible.	5	↑
	Retiree risk aversion may prevent holding at least 50% stocks throughout retirement.	5	↓
	The asset allocation glide path may not be fixed in retirement (rising or declining equity glide paths).	5	↑ ↓

William Bengen's 1994 study and the Trinity study were only meant to serve as starting points. Bengen in particular has subsequently made several advances and addendums to his initial work. He has been joined by numerous other researchers working to expand the body of knowledge about sustainable retirement spending.